Calm alone. Mistaken in a crowd.

MASS PSYCHOLOGY | What is crowd psychology?

When people think alone, they can compare information, weigh gains and losses, and judge calmly.

But when many people start moving in the same direction, the mere fact that “everyone is doing it” becomes a basis for judgment.

The majority is not necessarily right.

A group whose judgments are not independent amplifies the same mistakes.

Why do crowds make bad judgments?

WHY CROWDS FAIL

01 Conformity

We feel anxious about judging differently from those around us.

02 Social proof

The more people choose something, the more likely it feels correct.

03 FOMO

Fear of being left behind overpowers calm judgment.

04 Emotional contagion

Enthusiasm and fear spread from person to person.

05 Diffusion of responsibility

“Everyone else is doing the same” weakens our sense of responsibility for our judgments.

The stock market reflects crowd psychology

MARKET PSYCHOLOGY

01 You judge for yourself that a stock is expensive.

02 Others begin buying, and the price rises.

03 Fear of missing out emerges.

04 You mistake “it is rising” for “it is right.”

05 Buying attracts more buying, accelerating enthusiasm.

06 A single trigger reverses the process: selling attracts more selling.

What matters is not simply moving against the crowd. It is judging by your own standards, independently of the crowd.

Market emotion is something to use, rather than something that controls you.